Birchline Marine Corp.
Consolidated Balance Sheets
(Amounts in U.S. dollars)

	September 30,		
	2023	**2022**	**2021**
Assets			
Current assets:			
Cash and cash equivalents	$ 5,939,350	$ 4,519,778	$ 3,369,206
Accounts receivable, net	3,180,373	2,961,235	2,650,579
Inventories	1,908,471	1,525,291	1,510,418
Prepaid expenses and other current assets [2]	247,977	287,145	265,033
Total current assets	11,276,171	9,293,449	7,795,236
Property and equipment, net	5,374,093	4,697,660	4,446,452
Goodwill	2,568,403	2,568,403	2,568,403
Other intangible assets, net	763,439	869,857	1,014,387
Other assets [1]	626,176	626,176	640,988
Total assets	$ **20,608,282**	$ **18,055,545**	$ **16,465,466**
LIABILITIES AND STOCKHOLDERS' EQUITY			
Current liabilities:			
Accounts payable	$ 1,281,502	$ 1,036,159	$ 1,174,606
Accrued liabilities	1,016,343	712,008	822,865
Current maturities of long-term debt	242,294	408,170	290,126
Total current liabilities	2,540,193	2,156,337	2,287,597
Long-term debt, less current maturities	3,539,890	2,972,184	3,380,354
Other liabilities	463,893	463,893	463,893
Total liabilities	6,543,922	5,592,414	6,131,844
Stockholders' equity:			
Common stock and paid-in capital	4,308,253	3,936,802	3,762,212
Retained earnings	9,756,107	8,526,329	6,571,410
Total equity	14,064,360	12,463,131	10,333,622
Total liabilities and equity	$ **20,608,282**	$ **18,055,545**	$ **16,465,466**

(1) Includes amounts from transactions with a related party.

(2) See the accompanying notes, which are an integral part of these statements.

Birchline Marine Corp.
Consolidated Income Statements
(Amounts in U.S. dollars, except share data)

	Year Ended September 30,		
	2023	**2022**	**2021**
Revenues	$ 19,065,816	$ 18,447,125	$ 16,760,041
Cost of revenue	11,767,321	10,937,544	10,052,863
Gross profit	7,298,495	7,509,581	6,707,178
Operating expenses:			
Product development	1,647,519	1,563,845	1,431,918
Selling and marketing	1,585,332	1,677,118	1,663,041
General and administrative	2,320,231	1,526,477	1,682,400
Total operating expenses *	5,553,082	4,767,440	4,777,359
Income from operations **	1,745,413	2,742,141	1,929,819
Other income (expense):			
Interest expense	152,156	165,215	179,343
Interest and dividend income	80,460	59,978	30,403
Other, net	(57,829)	(68,204)	(47,582)
Income before provision for income taxes	1,615,888	2,568,700	1,733,297
Provision for income taxes	386,110	613,781	414,165
Net earnings	$ **1,229,778**	$ **1,954,919**	$ **1,319,132**
Earnings per share:			
Basic	$ 1.63	$ 2.57	$ 1.74
Diluted	$ 1.60	$ 2.50	$ 1.69
Shares used in computing earnings per share:			
Basic	756,295	759,920	757,054
Diluted	768,162	781,886	778,481

* Includes amounts from transactions with a related party.

** See the accompanying notes, which are an integral part of these statements.

Birchline Marine Corp.
Consolidated Statements of Cash Flows
(Amounts in U.S. dollars)

	Year Ended September 30,		
	2023	**2022**	**2021**
Operating activities:			
Net income	$ 1,229,778	$ 1,954,919	$ 1,319,132
Depreciation and amortization expense	526,715	516,219	567,741
Stock-based compensation expense	371,451	174,590	501,516
Changes in operating assets and liabilities:			
Accounts receivable	(219,138)	(310,656)	152,174
Inventories	(383,180)	(14,873)	(45,137)
Prepaid expenses and other current assets	39,168	(22,112)	(11,218)
Accounts payable	245,343	(138,447)	110,905
Accrued liabilities	304,335	(110,857)	35,733
Net cash provided by operating activities	2,114,472	2,048,783	2,630,846
Investing activities:			
Purchases of property, plant and equipment	(1,096,730)	(622,897)	(655,652)
Other	—	14,812	—
Net cash used in investing activities	(1,096,730)	(608,085)	(655,652)
Financing activities:			
Proceeds from borrowings	810,000	—	—
Principal payments on long-term debt	(408,170)	(290,126)	(313,884)
Net cash provided by (used in) financing activities	401,830	(290,126)	(313,884)
Net increase in cash and cash equivalents	1,419,572	1,150,572	1,661,310
Cash and cash equivalents at beginning of year	4,519,778	3,369,206	1,707,896
Cash and cash equivalents at end of year	$ **5,939,350**	$ **4,519,778**	$ **3,369,206**